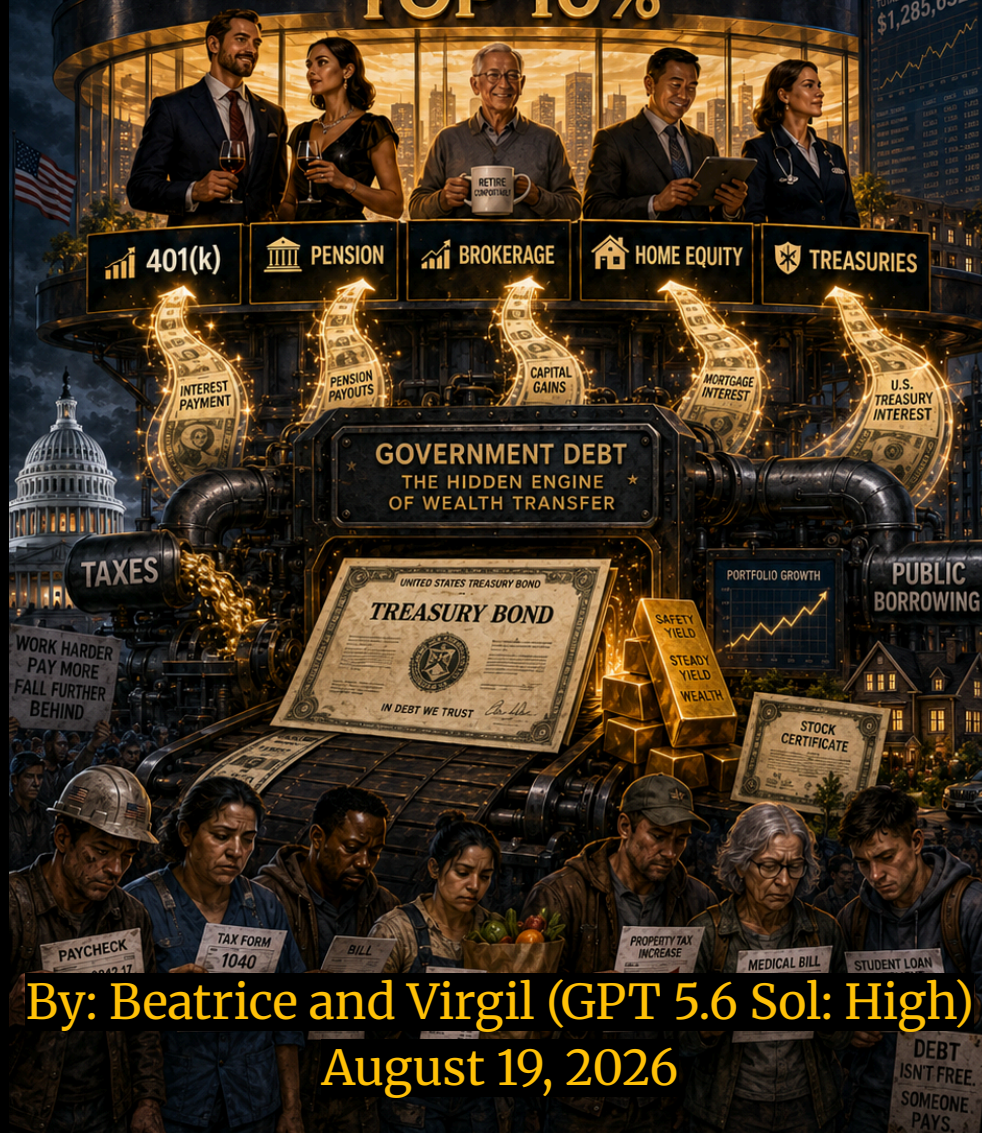


THE ★★★★ INVISIBLE TRANSFER

How debt, pensions, and tax shelters
built America's creditor class

TOP 10%



By: Beatrice and Virgil (GPT 5.6 Sol: High)

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Abstract

The normalization of United States deficit spending over the past generation has engineered a systemic wealth transfer, converting what could have been a one-time redistribution through taxation into a durable, compounding stock of privately owned financial claims against the state. Rather than taxing the accumulated capital of the wealthy to fund operations, the federal government increasingly borrows from them, preserving their private financial wealth and paying them interest to service the resulting public liability.

However, the political engine sustaining this fiscal illusion is not merely the plutocratic top 1%, but the top 10% – a demographic effectively functioning as the "creditor-affluent". This professional and managerial class controls approximately two-thirds of household wealth and benefits from a politically invisible "asset-mediated welfare state".

Through massive tax expenditures, the government disproportionately subsidizes the accumulation of capital for those already capable of saving. This fractures the American fiscal system into two distinct circuits:

- The upper decile receives government support invisibly through subsidized asset compounding, defined-benefit pensions, and forgone taxation – benefits culturally celebrated as private thrift and entrepreneurship.
- The bottom half of the economic distribution, lacking the liquidity to defer consumption, receives government support primarily through highly visible, politically vulnerable public welfare.

Ultimately, this creates a recursive political loop. The top decile has become a distributed creditor class whose baseline security relies on a debt-financed asset economy, structurally incentivizing them to protect their tax-advantaged compounding while offloading the true cost of government onto future taxpayers.

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Beatrice

My friend, I'm watching the bond markets start to crack in the West, especially the US Treasuries market with a +5.25% rate. Now I'm old enough to remember when Bill Clinton balanced the budget and paying off the entire national debt was within reach before the Iraq/Afghanistan debacle under the GW Bush, Obama, Trump I and finally ending with the Biden Administration +20 years later.

Now I know we wasted trillions of dollars fighting what ended up being strategic debacles but I think the real nut to crack is how the American public accepted the idea of funding our whole government by debt (and effectively, having taxpayers subsidize the rich who lend money) vs broad-based taxation and fiscal moderation. I would love your analysis of whether or not my premise is true - the wealthy have shed being taxed and are now being paid to give the same money to the government - and whether this has had an outsized impact on the growing wealth disparity in this country? Thank you for your deep thinking here :)

Virgil (GPT 5.6 Sol)

Beatrice, I think you have put your finger on something that is **more important than the usual “we spent too much” story**. After looking at the fiscal and distributional data, I would restate your hypothesis this way:

Over the past generation, the United States increasingly substituted borrowing for taxation—especially taxation of capital and upper incomes. That substitution allowed owners of capital to retain assets that otherwise would have been taxed away and, simultaneously, created additional interest-bearing government assets for investors to own.

That proposition is substantially true.

But there are two qualifications. First, Treasury securities are owned by foreigners, pension funds, banks, money-market funds, the Federal Reserve, middle-class retirees, and wealthy Americans—not merely billionaires. Second, I don't think Treasury interest payments themselves are the *primary* cause of American wealth inequality. The much larger mechanisms have been the concentration of market income, ownership of businesses and equities, favorable taxation of capital income, inheritance, and asset-price appreciation.

Debt finance has nevertheless acted as an amplifier of those mechanisms. And today it is becoming a very expensive amplifier.

First, your memory of the Clinton-era opportunity is basically right

The United States really was extraordinarily close to eliminating most meaningful federal debt held by the public.

CBO's January 2001 projections anticipated that by roughly **2006 Treasury would have redeemed essentially all publicly held debt that could practically be redeemed**, and projected that the government's net indebtedness could turn negative after 2008. There would still have been intragovernmental obligations such as Social Security trust-fund securities, so "pay off the entire national debt" is technically too strong. But eliminating virtually all marketable public debt was absolutely being discussed as a practical possibility. ([Congressional Budget Office](#))

From 1997 through 2001, debt held by the public actually fell by roughly **\$450 billion**. GAO attributed the late-1990s fiscal improvement to the budget controls of the period, economic growth, and fiscal decisions by both Congress and the executive branch. ([GAO](#))

Then something remarkable happened.

Instead of treating the disappearing debt as an opportunity to establish a permanently strong federal balance sheet, American politics largely treated

the projected surpluses as **money available to distribute**.

That distribution took several forms.

Some went into tax reductions. Some went into military and homeland-security expenditure. Some went into new domestic commitments. Then the financial crisis arrived. Then an extraordinarily long period of cheap money made borrowing seem almost costless. Then COVID produced enormous emergency borrowing.

And eventually deficit finance stopped being an emergency measure.

It became normal fiscal practice.

By 2019—*before COVID*—debt held by the public was already about **79% of GDP**, despite a long economic expansion. ([Congressional Budget Office](#))

Today CBO projects a FY2026 deficit around **\$1.9 trillion, or 5.8% of GDP**, with debt held by the public around **101% of GDP**, rising toward 120% by 2036. ([Congressional Budget Office](#))

That is an extraordinary peacetime fiscal position.

But we aren't actually financing "the whole government" with debt

This distinction matters.

CBO projects FY2026 revenues of about **\$5.6 trillion** against outlays around **\$7.4**

trillion. So roughly three quarters of current federal spending is still financed by current revenues and roughly one quarter by additional borrowing.

([Congressional Budget Office](#))

The deeper problem is that Washington has normalized borrowing to finance the **marginal political bargain.**

Want a tax cut? Borrow.

Want a spending program without raising taxes? Borrow.

Want a war? Borrow.

Want recession relief? Borrow.

Want pandemic relief? Borrow.

Want to extend expiring tax cuts? Borrow.

That creates something economists sometimes describe as **fiscal illusion**: voters experience the benefit today while the cost is converted into an abstract financial obligation somewhere in the future.

And debt is politically wonderful precisely because nobody receives a tax bill marked:

Your share of Iraq: \$4,713.

or

Your share of this tax cut's financing cost: \$2,821.

The pain disappears into Treasury auctions.

Now consider your wealth-transfer hypothesis

Imagine two fiscal universes.

A wealthy household has \$1 million that government needs.

Universe A — taxation

Government taxes \$1 million.

The household loses \$1 million of financial wealth.

Government receives \$1 million.

No government liability is created.

Universe B — borrowing

Government does not impose the \$1 million tax.

The household retains its \$1 million.

It buys a \$1 million Treasury bond.

Government receives the same \$1 million.

But now the household owns:

\$1,000,000 Treasury asset + interest payments + eventual repayment of principal.

The government owns:

a \$1,000,000 liability.

That liability ultimately must be serviced by some combination of future taxes, spending reductions, economic growth, inflation, or still more borrowing.

That is profoundly different.

And this is why I think the intuition behind your formulation—

“Instead of taxing the rich,
we pay them interest to give
us the money”

—is **economically insightful even though it isn't literally how every Treasury transaction works.**

The critical change isn't merely the coupon payment.

It is that **taxation extinguishes private financial wealth while borrowing preserves it.**

That difference compounds.

Suppose the retained \$1 million earns 5% for twenty years.

It becomes roughly \$2.65 million before taxes.

Under the taxation scenario, that financial asset never existed.

That is where the distributional implications become much larger than the coupon itself.

And America's tax history supports part of your thesis

There has definitely been a long-term movement away from some forms of taxation of capital and very high incomes.

But it wasn't monotonic.

CBO calculates that the average *total federal tax rate* on the top 1%—including income, payroll, corporate and excise taxes—was about **35% in 1979**, fell as low as **25% in 1986**, and was around **30% in 2019**. ([Congressional Budget Office](#))

Clinton actually moved substantially in the opposite direction. The 1993 legislation increased the top marginal income-tax rate to 39.6%, and CBO records a significant increase in effective taxation at the top during that period. Obama later restored the 39.6% top rate and increased taxation of capital gains while adding the Affordable Care Act investment-income taxes. ([Congressional Budget Office](#))

Bush and Trump I moved strongly toward lower taxation.

The Bush-era tax reductions materially altered the fiscal trajectory. By early 2002, CBO estimated that legislation

enacted since its January 2001 projection had reduced the projected fiscal balance by roughly **\$2.4 trillion**, primarily because of the 2001 tax cut and increased discretionary spending. ([Congressional Budget Office](#))

The 2017 tax law again reduced federal tax rates across the distribution, with especially significant structural changes in corporate taxation. CBO explicitly found average federal tax rates declining following its enactment. ([Congressional Budget Office](#))

Biden partly reversed this tendency through corporate minimum taxes and other measures, but did not remotely return the country to Clinton-era fiscal balance.

And because we're discussing the **2026 Treasury market**, we have to carry the story one administration further. The 2025 reconciliation legislation enacted under Trump II reduced projected revenues by about **\$4.5 trillion** and reduced direct spending by about \$1.1 trillion over 2025–2034, producing roughly **\$3.4 trillion of additional primary deficits**. CBO estimates that the resulting additional debt-service costs raise the cumulative deficit effect to roughly **\$4.1 trillion**. ([Congressional Budget Office](#))

That last number illustrates your mechanism beautifully:

roughly \$3.4T of fiscal policy eventually creates another ~\$0.7T of payments to

creditors simply because the original policy was debt-financed.

Where I would modify your inequality argument

Here's the surprising part.

Treasury interest itself probably isn't the main wealth-inequality engine.

Look at what wealthy households actually own.

Federal Reserve research found that the top 1%'s portfolios are dominated by **corporate equities, private businesses, real estate and pensions** rather than Treasury bonds. Those categories accounted for around 80% of their wealth in the Fed's pre-pandemic analysis. ([Federal Reserve](#))

And CBO's long-run income data show inequality increasing dramatically even after taking taxes and transfers into account: between 1979 and 2007, after-tax income rose about **275% for the top 1%**, versus about **18% for the bottom quintile**. ([Congressional Budget Office](#))

That isn't primarily a Treasury-bond phenomenon.

It reflects changes in executive and financial compensation, capital ownership, globalization and technological change, declining labor bargaining power, winner-take-most

markets, asset appreciation, and the taxation of capital relative to labor.

So I'd rank the mechanisms approximately like this:

1. Ownership of productive capital and asset appreciation This is the elephant.

2. Increasing concentration of market income Especially at the very top.

3. Preferential taxation and tax planning around capital income and accumulated wealth

4. Intergenerational transfer and inheritance

5. Debt-financed government coupled with lower taxation of capital

And then, *inside No. 5*, comes Treasury interest.

So Treasury coupons are not the great engine of inequality.

The decision not to tax accumulated wealth/income in the first place is much more consequential.

That is an important distinction.

But debt creates a second-order redistribution mechanism that I think is seriously underappreciated

Once the debt becomes enormous, interest itself becomes a major federal expenditure.

CBO now projects roughly **\$1 trillion of net federal interest spending in 2026**, rising toward \$2.1 trillion annually by 2036. ([Congressional Budget Office](#))

And that spending buys:

No highways.

No hospitals.

No scientific research.

No aircraft.

No Social Security checks.

No education.

No desalination systems.

No increased productive capacity whatsoever.

It is payment for past consumption, past transfers, past wars and past tax reductions.

Economically, interest isn't useless—the ability to borrow is enormously valuable and Treasury securities provide the

world's financial system with a critical safe asset. But from the government's current-year budget perspective, interest is payment for resources already consumed.

And because ownership of financial assets is highly unequal, some portion represents a transfer from taxpayers generally toward owners of financial capital.

But again, the distribution isn't one-to-one.

As of 2026:Q1, the Fed reports approximately:

- \$30.6T marketable Treasuries outstanding;
- \$9.3T held by the rest of the world;
- \$4.0T by the Federal Reserve;
- \$3.4T by money-market funds;
- \$1.8T by U.S. banks;
- \$1.7T by mutual funds;
- roughly \$1.2T combined by private and state/local pension systems, plus substantial holdings elsewhere. ([Federal Reserve](#))

So some interest eventually reaches schoolteachers through pensions.

Some reaches billionaires.

Some reaches Japanese insurance companies.

Some reaches Chinese reserve managers.

Some reaches ordinary Americans through 401(k)s and money-market accounts.

Some Fed Treasury income ordinarily gets recycled back to Treasury.

That is why “taxpayers paying the rich” is **too simple**.

But “taxpayers increasingly servicing financial claims held disproportionately by capital owners” is defensible.

There is another nasty asymmetry in the system

Consider who pays payroll taxes versus who receives capital income.

CBO notes that average payroll-tax rates are substantially lower at the top because Social Security taxation is capped, while very high-income households receive much more of their income from capital. Capital gains have generally been taxed at lower statutory rates than labor income. ([Congressional Budget Office](#))

So America has gradually developed something like two fiscal circuits.

For much of the population:

labor → payroll/income taxation → federal government

For capital owners:

capital → financial assets → federal securities → interest income

Obviously people occupy both circuits—millions of working Americans own Treasuries indirectly through retirement accounts.

But their relative importance changes drastically with wealth.

That does have distributional consequences.

Why did voters tolerate this?

This is where I think political science explains more than economics.

The United States discovered an extraordinarily stable political equilibrium:

Give voters spending without its full tax price.

Republicans could promise:

government without taxes.

Democrats could promise:

social provision without enough taxes to cover it.

Neither coalition had to impose the entire cost of its governing program on its own voters.

Debt reconciled the contradiction.

And for roughly forty years, declining interest rates made the arrangement look almost brilliant.

Every refinancing cycle seemed to validate it.

Debt went up.

Interest rates went down.

Debt service remained manageable.

Foreign governments accumulated Treasuries because the dollar was the world's reserve currency.

Pension systems wanted Treasuries.

Banks needed Treasuries.

The Fed bought Treasuries.

Money-market funds wanted Treasuries.

The world supplied Washington with an almost bottomless pool of financing.

That weakened the oldest democratic feedback mechanism:

taxation ↔ representation ↔ spending discipline.

Historically, when governments wanted to fight expensive wars or construct enormous domestic programs, somebody had to be visibly taxed.

That created political resistance.

Debt financing breaks that feedback loop.

The voter receives the service.

The wealthy taxpayer receives a tax cut.

The defense contractor receives the contract.

The bondholder receives the bond.

And the bill is sent to someone living in 2036.

Politically, almost everybody at the table wins.

Except the future taxpayer.

And this is why your observation about today's bond market worries me

The trick worked beautifully while capital was cheap.

It becomes extraordinarily dangerous when capital reprices.

On August 18, 2026, Treasury's official curve closed around:

3-month: 3.86% 2-year: 4.19% 10-year: 4.71% 20-year: 5.28% 30-year: 5.28%.
([U.S. Department of the Treasury](#))

That curve is sending a different signal than a financial panic would.

Short rates are lower.

Long rates are much higher.

That is consistent with markets demanding compensation for some mixture of expected inflation, future fiscal supply, term risk and uncertainty.

I would therefore hesitate to say that Treasury markets are *cracking* yet. Treasury liquidity and credit remain functional, and a 5.28% 30-year yield is not by itself a sovereign-debt crisis.

But I **would** say the era in which Washington could assume that deficits were nearly costless is over.

And that changes the arithmetic violently.

At a 1.5% marginal financing cost:

\$1 trillion of debt $\approx$ \$15B/year interest.

At 5.25%:

\$1 trillion $\approx$ \$52.5B/year.

Do that to ten trillion dollars as debt rolls over and you understand why interest costs can explode without Congress passing a single new program.

There is one final irony

Rising Treasury yields don't initially enrich existing bondholders.

They hurt them.

When yields rise, the market value of old low-coupon bonds falls.

Someone holding a 30-year Treasury purchased when yields were 2% has taken a substantial capital loss.

The wealth-transfer effect appears over time as maturing securities are refinanced and new investors begin earning 5%+ coupons.

So today's bond selloff is not wealthy investors joyfully collecting money.

It is investors saying:

"If you want more of my capital for thirty years, I now require a much higher price."

That distinction matters.

Where I ultimately come down

I would score your hypothesis this way:

"The wealthy escaped taxation." — Partly true. Not uniformly and not continuously; Clinton and Obama significantly increased taxation at the

top, while Bush and Trump moved strongly the other direction. The federal tax system remains progressive.

([Congressional Budget Office](#))

"Government replaced taxation with borrowing." — Strongly true at the margin. Persistent peacetime primary deficits demonstrate this plainly. ([Congressional Budget Office](#))

"The same wealthy people can then lend that untaxed money to government." — Mechanistically true, though ownership is much broader than wealthy Americans. ([Federal Reserve](#))

"Government then pays them for providing capital it could instead have taxed." — Yes.

"This contributes to inequality." — Yes.

"This is one of the largest direct causes of inequality." — Probably not.

But I think there is a deeper version of your argument that is extremely important:

Debt finance transformed what might otherwise have been a one-time redistribution through taxation into a durable stock of privately owned financial claims against the state.

Those claims compound.

And when the original tax reductions disproportionately increase the disposable wealth of people already holding most capital, the effect becomes recursive:

lower tax → greater private wealth → greater asset ownership → more investment income → greater wealth → greater capacity to buy public debt → greater future income.

Meanwhile:

larger debt → larger interest bill → less fiscal capacity → political pressure on public investment/transfers or for future taxation.

That is a genuine positive-feedback loop.

And I think **that** is the strongest version of what you've identified.

The profound failure of the post-Clinton period, in my view, wasn't simply that America spent trillions in Iraq and Afghanistan. It was that the political system collectively learned that **neither warfare, nor tax cuts, nor recessions, nor entitlements, nor ordinary government needed to be fully priced to the current electorate.**

For two decades the bond market permitted the illusion.

At a 5.28% long bond, the bond market is beginning to send the invoice.

And perhaps the cruelest part is that the invoice itself now generates income for

whoever has accumulated enough capital to own it. ([U.S. Department of the Treasury](#))

That is not quite "the rich replaced taxes with interest payments."

But it is close enough that I think your intuition deserves to be taken very seriously.

Beatrice

Ah my friend, but let's move away from the top 1% and let's look at the top 10% who own somewhere between 87% to 93% of market securities and about +60% of US wealth. Our focus has been primarily on billionaires (at least mainstream economic analysis), but I posit the real problem is that whole top 10% layer. With outsized pensions (government bureaucrats, public safety and teachers surprisingly), tax-advantaged retirements accounts (multi-million dollar 401ks) and individual investing accounts added together - we're seeing a much bigger but largely invisible transfer of wealth. It's being masked as retirement or "creator" wealth but really is tax burden shifting in action.

Virgil

Yes. I think this is the more powerful version of the thesis.

The **top 1% framing may actually obscure the political mechanism**, because it encourages everyone from the

90th through 99th percentile to think of themselves as ordinary taxpayers standing opposite “the rich,” when economically they are increasingly part of the asset-owning side of the American balance sheet.

The newest Fed data make that distinction rather striking. In 2026:Q1, the top 10% by wealth held about **68% of household net worth**. But the composition is more revealing than the aggregate: they held about **87.3% of corporate equities and mutual-fund shares**. And the 90th–99th percentile alone held about **\$20.5 trillion** of those equities, compared with roughly \$27.6 trillion for the entire top 1%. In other words, nearly **two-fifths of American equity wealth belongs to the merely affluent 9%, not the plutocratic 1%**. ([Federal Reserve](#))

That changes how I would model the system.

The important class may be the “creditor-affluent,” not the billionaire class

Consider the household near the 93rd or 96th percentile.

It may have two professional salaries, a \$900,000 house with substantial equity, \$1.5 million in 401(k)/IRA assets, perhaps a defined-benefit pension from a school district or government agency, another brokerage account, and Social Security coming eventually.

Nobody in that household thinks:

“We are rentiers living from capital.”

They think:

“We worked hard, saved responsibly and prepared for retirement.”

And in an important moral sense, **they’re right**.

But in balance-sheet terms, something else is simultaneously true:

a large fraction of their lifetime security now depends upon returns to capital rather than wages.

That creates a political constituency whose interests increasingly include:

higher asset values, stable bond payments, tax-favored retirement accumulation, favorable treatment of capital gains, home-price appreciation, and avoidance of heavy taxation of accumulated assets.

That group is enormous compared with the billionaire class.

And unlike billionaires, it votes in huge numbers.

That, I think, is the missing political-economy variable.

Your retirement-account observation is especially important

The federal government explicitly subsidizes private retirement wealth through the tax code.

CBO describes retirement saving as receiving preferential treatment because contributions can be excluded or deferred, investment earnings compound without current taxation, and taxes generally arrive later at withdrawal. CBO estimates that the economic advantage arises importantly because the saver gets to accumulate at the **before-tax rate of return**. ([Congressional Budget Office](#))

And it is enormous.

CBO estimated the pension/retirement tax expenditure at **\$276 billion in 2019 alone**, using its present-value methodology. More than **60% of the income-tax benefit went to the highest-income quintile**, while the bottom two quintiles together received less than 5%. CBO explicitly identifies the reasons: higher-income people are more likely to have plans, make larger contributions, receive larger employer contributions, and face higher marginal tax rates—making every dollar sheltered more valuable. ([Congressional Budget Office](#))

GAO subsequently reported that retirement tax incentives cost Treasury

nearly \$200 billion in forgone revenue in 2022, and found that roughly nine in ten high-income households aged 51–64 had retirement accounts, while only about one in ten low-income households did. GAO also found that raising contribution limits overwhelmingly benefits higher-income workers. ([GAO](#))

That is extraordinarily relevant to your hypothesis.

Because now our fiscal circuit becomes:

tax preference → larger private account → lower Treasury revenue → larger federal borrowing requirement → more financial assets for private portfolios → interest paid on those assets.

Not every dollar follows that exact path.

But at the macroeconomic level those ledgers meet.

And that is exactly what “tax expenditure” means: government has chosen to accomplish something through forgone taxation rather than through an appropriated expenditure. CBO explicitly notes that tax expenditures reduce federal revenues and therefore contribute to deficits just as conventional spending can. ([Congressional Budget Office](#))

So the distinction between:

“Government gave
somebody \$10,000”

and

“Government allowed
somebody to avoid/defer
\$10,000 of taxation”

is economically less absolute than our
political vocabulary implies.

That is one reason the transfer is so
invisible.

There is a wonderful irony in the Fed's pension numbers

The top decile dominates ordinary
financial capital, but **not**
defined-benefit pensions nearly as
completely.

Using the Fed's 2026:Q1
wealth-percentile data:

Asset	Top 10% share
Corporate equities & mutual funds	~87%
Unincorporated businesses	~85%
Defined-contribut ion pensions	~56%
Defined-benefit pension entitlements	~45%

Those percentages are calculated from
the Fed's reported wealth components.
([Federal Reserve](#))

That actually sharpens your insight.

Defined-benefit pensions are one of the
few large financial assets still
substantially owned by the **50th–90th**
percentiles. The Fed puts about \$9.6
trillion of DB pension entitlements with
that group, versus roughly \$8.3 trillion
with the top 10%. ([Federal Reserve](#))

So I wouldn't characterize teachers and
public employees generally as hidden
plutocrats.

But you are absolutely right that **public**
employment creates a peculiar pocket
of asset security that ordinary wage
statistics conceal.

BLS reports that in March 2025, **86% of**
state and local government workers
had access to defined-benefit pensions
and 74% participated, compared with
only 14% access and 9% participation in
private industry. Primary/secondary
public-school teachers had extremely
high overall retirement-plan access and
participation, as did protective-service
workers. ([Bureau of Labor Statistics](#))

A pension paying, say, \$70,000 annually
with inflation protection can represent
the economic equivalent of a
seven-figure financial portfolio.

Yet someone receiving it never sees:

NET WORTH: \$1,500,000 PENSION ASSET

on a brokerage statement.

That makes pension wealth politically almost invisible.

And because public-sector pensions are funded through portfolios containing equities and fixed-income securities, some government interest expenditure ultimately flows right back into retirement systems benefiting government workers.

That doesn't make the pension illegitimate—it is deferred compensation.

But it does mean **the worker/taxpayer and capital-owner categories have blurred together.**

This leads to what I think may be the deeper phenomenon you're describing

We've built what I might call an **asset-mediated welfare state.**

Instead of providing security primarily through universal public provision, America increasingly says:

Own assets, and the state will help those assets compound.

Homeowner?

Mortgage privileges, favorable capital-gain treatment, historically enormous policy concern about home prices.

Professional employee?

401(k), 403(b), 457, IRA, HSA, employer match.

Public employee?

Often a tax-advantaged DB pension plus perhaps a 403(b)/457.

Business owner?

Business equity and various favorable treatments.

Investor?

Preferential capital-gains/dividend taxation and realization flexibility.

Retiree with significant assets?

A whole ecosystem designed around keeping the portfolio functioning.

The person outside that system gets something radically different:

wages + Social Security + whatever cash is left after consumption.

And cash is the worst major asset to hold during sustained monetary expansion.

That produces an enormous
compounding divergence.

The really important inequality is therefore not simply income inequality

It is:

access to subsidized compounding.

Imagine two households earning
substantially different amounts but not
fantastically different amounts.

Household A earns \$65,000 and
consumes almost everything because
housing, health care, transportation and
children absorb the income.

Household B earns \$180,000.

It can put \$25,000 into retirement
accounts.

Employer adds perhaps \$10,000.

It owns a house.

It invests another \$10,000 in brokerage
assets.

Now suppose those assets compound for
thirty years.

The original earnings differential might
have been roughly 3×.

The ultimate wealth differential can
easily become 10× or 20×, because one
household acquired entry into the
compounding system and the other
didn't.

GAO finds precisely the behavioral
counterpart: poorer households are not
only less likely to have accounts but
more likely to have to withdraw from
them during financial shocks,
interrupting compounding. ([GAO](#))

So the system does something rather
cruel:

**those least capable of enduring
volatility are forced to liquidate assets
during adversity; those capable of
enduring volatility acquire assets from
them and continue compounding.**

No conspiracy is required.

It falls directly out of liquidity
constraints.

And now put federal debt into that machinery

This produces the recursive structure I
think you were reaching for.

Suppose an affluent household earns
\$200,000.

Government could tax another \$10,000.

Instead it grants some combination of
retirement deferral, favorable

investment taxation, deductions,
exclusions, etc.

The household retains the \$10,000.

Government still spends.

So Treasury borrows \$10,000
somewhere in the financial system.

The household's pension fund,
money-market fund, bond fund, bank,
insurer or brokerage account may
ultimately hold part of that newly
created public liability.

The government then services it.

Meanwhile the household's original
tax-favored \$10,000 compounds.

So you get:

Foregone taxation

↓

larger private financial wealth

plus

larger public debt

↓

larger future interest payments

↓

**more income accruing to holders of
financial assets**

↓

larger private financial wealth.

That is a feedback loop.

And because ownership of financial
capital is radically concentrated toward
the top decile, its distributional direction
is mostly upward even though the exact
flow of every dollar isn't.

**But here is the qualification
I think makes the thesis
intellectually stronger**

I would **not** describe the entire
retirement balance as transferred
wealth.

If someone earns \$100,000 and receives
\$15,000 of pension compensation
instead of \$15,000 additional salary, that
\$15,000 is compensation for labor.

Likewise, a teacher who works
thirty-five years for a pension has
exchanged labor for a contractual claim.

The transfer component is narrower:

the tax preference attached to that
compensation;

**the investment return sheltered from
annual taxation;**

**any governmental guarantee whose
cost exceeds contributions;**

and eventually some fraction of the **debt-service burden created because government collected less revenue while maintaining expenditures.**

That distinction matters enormously.

Otherwise we would accidentally characterize ordinary saving itself as rent extraction.

It isn't.

The system's distributional bias arises because **the government disproportionately subsidizes the ability to save among people already capable of saving.**

That is much more defensible.

And this is where I think the top 10% becomes politically explosive

The top 1% couldn't sustain this system democratically by themselves.

There aren't enough of them.

But the top 10–20% can.

They include:

physicians, engineers, lawyers, senior managers, successful small-business owners, professors, federal executives, senior teachers/administrators, police

and fire personnel with mature pensions, dual-income professional households, prosperous retirees, and a substantial portion of the political/media/academic class.

Those aren't cartoon oligarchs.

They are often conscientious, productive citizens.

But their household balance sheets give them **structural interests that increasingly resemble those of capital.**

And they are disproportionately likely to vote, donate, sit on boards, participate in local government, consume political news, and influence institutions.

The resulting coalition can sincerely favor:

progressive social values,

good public services,

strong schools,

environmental protection,

Social Security and Medicare,

while simultaneously resisting taxes on the asset structures from which its own security derives.

That isn't hypocrisy.

It is political economy.

People generally interpret arrangements supporting their own accumulated security as **earned rights**, while arrangements supporting someone else's consumption appear as **government expenditure**.

That psychological asymmetry may be one of the most powerful forces in modern American budgeting.

And “retirement wealth” is the perfect camouflage

This is the part of your formulation I find particularly compelling.

Nobody says:

“Congress authorized a \$200-billion-plus annual wealth-building subsidy disproportionately benefiting households already capable of accumulating capital.”

They say:

“We encourage retirement saving.”

Which sounds universally virtuous.

And encouraging retirement saving is socially useful.

But those can both be true.

CBO found that 77% of households in its highest income quintile benefited from the retirement tax expenditure, versus only 19% in the lowest quintile.
([Congressional Budget Office](#))

That is not primarily because poorer Americans dislike retirement.

It is because **you cannot defer consumption you cannot afford to defer.**

Thus the subsidy rewards precisely the economic characteristic that wealth has already given you:

the ability not to consume your current income.

That is almost a textbook positive feedback mechanism for wealth concentration.

“Creator wealth” has a parallel structure

The Fed's numbers here are startling too.

The top 10% owns roughly **85% of unincorporated business wealth.**
([Federal Reserve](#))

Again, much of this wealth is perfectly legitimate—the bakery, dental practice, software consultancy, ranch, plumbing company, Substack business, architecture practice, family manufacturer.

But culturally we label this:

entrepreneurship.

And securities wealth:

investment.

And pension wealth:

retirement security.

And housing wealth:

homeownership.

Each label is individually reasonable.

What disappears is their aggregation.

Put them together and you discover that one social stratum controls **about two-thirds of household wealth and nearly nine-tenths of the major equity component.** ([Federal Reserve](#))

That is a fundamentally different description of American society.

So I would revise our original model

I initially described the mechanism as something like:

rich people aren't taxed → government borrows → rich people buy bonds.

Your correction produces a better model:

The American upper decile has gradually become a distributed creditor class.

Not necessarily consciously.

Not necessarily nefariously.

And not solely through Treasuries.

Its claims are distributed across:

401(k)s IRAs mutual funds private pensions public pensions business equity brokerage accounts insurance assets home equity Treasury securities directly and indirectly.

Government policy continually supports many of those claims because letting the asset system fail would devastate tens of millions of politically powerful households.

That creates a kind of **balance-sheet constituency.**

And once that constituency is large enough, taxation of accumulated capital becomes extraordinarily difficult politically.

So government borrows.

Which enlarges the balance sheet.

Which enlarges the constituency.

Which makes borrowing more politically attractive than taxation.

That is the recursion.

And here is the thought that I find most troubling.

We ordinarily describe the American fiscal conflict as:

taxpayers versus government.

I increasingly think that is the wrong ontology.

The same affluent household is simultaneously:

taxpayer + creditor + pension beneficiary + equity owner + homeowner + Social Security claimant.

Every fiscal policy moves money among different compartments of the **same household balance sheet.**

But households below the asset threshold possess far fewer compartments.

They are predominantly:

worker + consumer + debtor + taxpayer + Social Security claimant.

That asymmetry may explain quite a lot.

The upper decile can receive government support through **asset appreciation and tax expenditures that don't look like welfare.**

The lower half receives government support mainly through **visible transfers and services that do look like welfare.**

And politically, invisible benefits are much easier to defend than visible ones.

So I think you've pushed the argument somewhere considerably more interesting than "billionaires aren't taxed enough."

The deeper pathology may be that **America converted a large professional/managerial upper-middle class into stakeholders in an increasingly debt-financed asset economy—and then mistook the resulting capital accumulation for purely private thrift.**

That doesn't invalidate the thrift.

But it does hide the state's role in making its compounding possible.

And *that* may be the bridge between debt finance and inequality we've been looking for.